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I WAS THE NEW BOY in school when I flew to Ottawa in the summer of 1981 for my first economic summit, the annual meeting of the heads of seven industrialized nations held on a rotating basis in each country. Before leaving, my "sherpas"—that's what they call the specialists and assistants who prepare presidents for international summit meetings—told me the United States was likely to come under fire in Ottawa for our high interest rates, which several of the countries blamed for their own economic troubles. Margaret Thatcher of Great Britain, Pierre Trudeau of Canada, Zenko Suzuki of Japan, Helmut Schmidt of West Germany, François Mitterrand of France, and Giovanni Spadolini of Italy and I had a freewheeling discussion about the state of the world's economy. None of us was very enthusiastic about it. Schmidt, a socialist, was in a particularly gloomy mood. Although Mitterrand suggested our interest rates were contributing to the world's problems by draining off capital from other countries, he didn't find any support around the table. Everyone knew I was new on the job, and when I described the economic recovery program I was trying to get through Congress, they wished me well. I suspect, however, that several of them didn't think much of some of my more radical ideas for cutting taxes and reducing the government's interference in economic affairs.

Two years later, the economic summit convened amid the breathtaking colonial beauty of Williamsburg, Virginia, just as the economic turnaround in the United States was beginning to gain a strong head of steam. It was my turn to serve as chairman, and I was a little edgy. At dinner the first